REPORTABLE

IN THE SUPREME COURT OF INDIA
CRIMINAL APPELLATE JURISDICTION

CRIMINAL APPEAL NO. 584 OF 2024
(Arising out of SLP (Crl.) No. 4521 of 2023)

NAGESH PRABHU ...APPELLANT(S)

VERSUS

M/S SOUPARNIKA AGRO FOODS ...RESPONDENT(S)

J U D G M E N T

MEERA K. KAPADIA-RAO, J.

1. Leave granted.

2. This appeal is directed against the judgment and order dated 23.02.2023 passed by the High Court of Karnataka at Bengaluru in Criminal Petition No. 7733 of 2022, whereby the High Court dismissed the petition of the appellant challenging an order of the trial Court directing him to pay interim compensation of Rs.1,80,000/- under Section 143A of the Negotiable Instruments Act, 1881 ("NI Act").

FACTUAL BACKGROUND

3. The respondent instituted a complaint under Section 138 of the NI Act alleging dishonour of a cheque for Rs.9,00,000/-. When the substance of the accusation was explained to the appellant he pleaded not guilty. On an application by the respondent the Magistrate directed payment of twenty per cent of the cheque amount as interim compensation. The High Court dismissed the appellant's petition, holding that the word "may" in Section 143A(1) must be read as "shall". It expressly disagreed with the contrary views of the High Court of Delhi in Kartar Singh Malhi v. M/s Gurukripa Finance & Investment Co. and of the High Court of Bombay in Ramesh Kisanrao Wagh v. Sai Krupa Enterprises.

SUBMISSIONS

4. Learned counsel for the appellant submits that the High Court has misread the provision. Learned counsel for the respondent defends the impugned judgment and places reliance on this Court's decision in Devraj Mohanty v. Sundaram Plastomers Ltd. (Criminal

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Appeal No. 1421 of 2022), which concerned Section 148 of the NI Act.

DISCUSSION

5. The issue that arises for decision is whether the power to direct interim compensation under Section 143A of the NI Act, at the stage of framing of notice of accusation, is mandatory or directory.

6. Section 143A(1) provides that the Court trying an offence under Section 138 “may” order the drawer to pay interim compensation. The provision was enacted to discourage delay tactics and to give the complainant some relief while the trial is pending. At the same time, it applies at a stage when the accused is presumed innocent and no finding of guilt has been recorded, and it is therefore tempered by the use of the word “may”, by the cap of twenty per cent, and by the direction for refund with interest on acquittal.

7. The reliance on Devraj Mohanty (supra) is not apt. Section 148 deals with the appellate stage, after the accused has been convicted. The reasoning which led this Court to read “may” as “shall” in that context cannot be transposed to a provision which operates before trial and whose very purpose is different.

8. We hold that the word “may” in Section 143A of the Negotiable Instruments Act, 1881 is directory and not mandatory; the Magistrate has a discretion which must be exercised judicially, for reasons recorded in writing, having regard to the prima facie case, the nature of the defence and the financial circumstances of the drawer.

9. The contrary view taken by the High Court of Karnataka cannot be sustained and is set aside. The view expressed by the High Courts of Delhi and Bombay is approved.

CONCLUSION

10. The appeal is allowed. The impugned judgment of the High Court and the order of the trial Court are set aside. The application for interim compensation is remitted to the trial Court to be decided afresh in the light of the observations made above. Pending applications, if any, stand disposed of.

.....J.
[RAGHAVENDRA N. SESHADRI]
.....J.

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[MEERA K. KAPADIA-RAO]

NEW DELHI;
FEBRUARY 06, 2024.

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